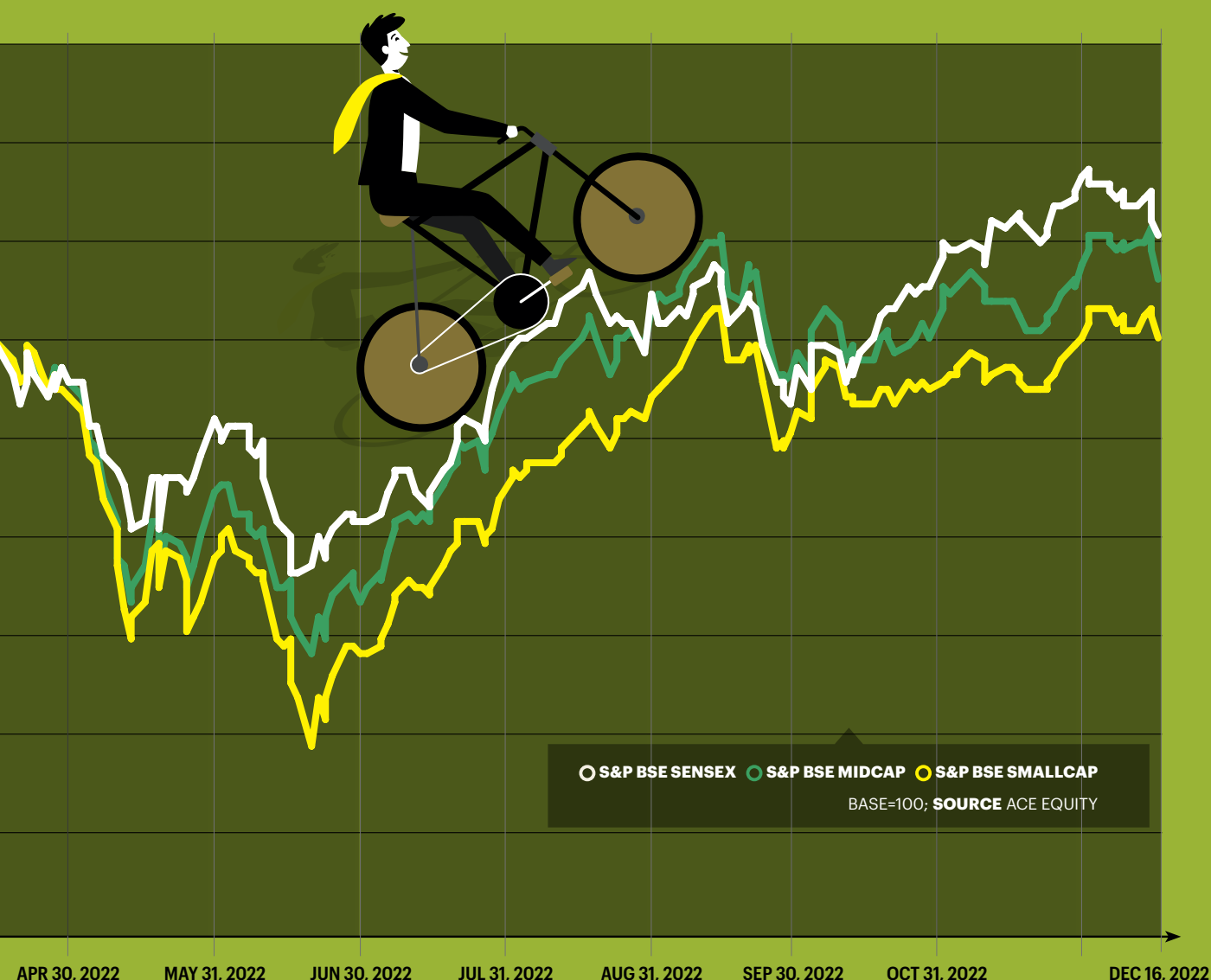


BIGGER PLAYERS, BETTER PERFORMERS

In 2022, the BSE Sensex, which represents blue-chip companies, has outperformed mid-caps and small-caps



earnings trajectory continues in the Nifty 50 universe. We foresee Nifty EPS [earnings per share] growth of 11 per cent, 14 per cent and 13 per cent in FY23, FY24 and FY25 [respectively],” says B. Gopkumar, MD & CEO of Axis Securities. Currently, the Nifty, the benchmark index of the National Stock Exchange, is trading at an EPS of ₹832 and a price to earnings ratio (P/E) of 22.4. He sets the target for the Nifty—that closed at 18,269 on December 16, 2022—at 20,400 for 2023.

According to experts, the relative outperformance of the Indian market is likely to sustain in 2023, driven by favourable macroeconomic factors and improved

fundamentals of Indian corporates. A good monsoon, a cool-off in commodity prices, and a healthy job market would also be beneficial.

VALUE VS MOMENTUM

But what are the strategies and themes that might work in 2023? “The strategy for 2023 would likely be a story of two halves, where the first half would be more value-driven as cost of capital will continue to be on the higher side and the second half will be led by earnings growth proxies as central bankers would look to pivot from the monetary tightening cycle,” says Pankaj